

STOCK PULSE

UltraTech Cement Ltd (ULTRACEMCO • NSE/BSE)

Sector: Commodities | Pulse Score: 4/10 (WEAK) | Data Confidence: 14/14 (HIGH) | Horizon: 10Y

01 Overview & Market Standing

|                                                                                                                                                       |                                               |
|-------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------|
| CURRENT MARKET PRICE<br>Rs. 11,393                                                                                                                    | 52-WEEK HIGH / LOW<br>Rs. 13,110 / Rs. 10,325 |
| MARKET CAPITALISATION<br>Rs. 3,35,757 Cr                                                                                                              | PRIMARY SECTOR<br>Commodities                 |
| CMP (Rs. 11,393) is +10.3% above 52W Low (Rs. 10,325) and -13.1% below 52W High (Rs. 13,110) — trading in mid-range (38th percentile of 1-year band). |                                               |

02 Business & Operational Overview

|                                                                                                                                                                                                                                                                                                                         |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| UltraTech Cement is engaged in the manufacturing and sale of Cement and Cement related product primarily across globe. Market Leadership The company is the 3rd largest cement company in the world, excluding China. It is also the largest cement manufacturer in India with a 28% share of the grey cement capacity. |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

03 Valuation Multiples & Benchmark Banding

|                                                 |                                                |
|-------------------------------------------------|------------------------------------------------|
| STOCK P/E RATIO<br>39.3<br>Fair Band: 32 - 43.2 | PRICE TO BOOK (P/B)<br>4.38<br>BV: Rs. 2,600   |
| DIVIDEND YIELD<br>2.11%<br>Face Value: Rs. 10   | SECTOR BENCHMARK P/E<br>37.6<br>4.5% vs Sector |

FAIR

04 Mathematical Valuation Triangulation

|                                                                                                                                                                                                                                                                              |                                                      |                                                             |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------|-------------------------------------------------------------|
| REVERSE DCF IMPLIED GROWTH<br>21.3%<br>WACC: 11.5%                                                                                                                                                                                                                           | 10Y VALUATION QUANTILE<br>43th %ile<br>10Y Med: 41.2 | EARNINGS POWER VALUE (EPV)<br>Rs. 1,510.3<br>Growth Premium |
| Triangulation Narrative: At current enterprise value (Rs. 3,70,654 Cr), market prices in a 21.3% annual FCF growth rate for 10 years (WACC: 11.5%, Terminal: 4.5%). Trades at the 43th percentile of its 10-year valuation range [31.7 - 47.9], with 10Y median P/E at 41.2. |                                                      |                                                             |

DEMANDING

05 Peer Comparison & Recent Headlines

| PEER COMPANY          | P/E  | ROCE  | MARKET CAP      | RELATIONSHIP  |
|-----------------------|------|-------|-----------------|---------------|
| Grasim Industries Ltd | 39.1 | 8.01% | Rs. 2,24,118 Cr | Industry Peer |
| Shree Cement Ltd      | 52.5 | 10.3% | Rs. 85,589 Cr   | Industry Peer |
| Ambuja Cements Ltd    | 21.2 | 5.61% | Rs. 99,915 Cr   | Industry Peer |

Peer Selection Rationale: Discovered from exchange sector classification. Sector Benchmark P/E reflects peer basket median.

Recent Corporate News Headlines (Most Recent First):

- [11 Aug 2026] Stocks to watch: Vi, Lupin, Zen Tech, BSE, Wipro, Adani Group stocks - business-standard.com - business-standard.com
  - [3 Aug 2026] Top stocks in news: Maruti Suzuki, ITC, Coal India, BEL, Nalco, ZEEL, Lupin, CDSL, autos - Business Today - Business Today
  - [22 Jul 2026] Lupin, Aurobindo, Sun Pharma fall up to 4%: Why are pharma stocks falling today? - India Today - India Today

06 Growth & Operating Trajectory

REV NORMALIZING / PROFIT EXPANDING

|                                       |                            |                                      |                       |
|---------------------------------------|----------------------------|--------------------------------------|-----------------------|
| REVENUE 3Y / 5Y CAGR<br>9.02% / 11.8% | TTM Sales: Rs. 91,884 Cr   | PROFIT 3Y / 5Y CAGR<br>6.96% / 3.17% | TTM PAT: Rs. 8,571 Cr |
| EBITDA MARGIN PROFILE<br>TTM: 19%     | Latest Qtr (Jun 2026): 20% | NET MARGIN PROFILE<br>TTM: 9.33%     | Pre-Tax Bridge        |
| TRAILING DILUTED EPS<br>Rs. 289.77    | 3Y EPS CAGR: 6.09%         | OPERATING CASH FLOW<br>GROWING       | Cash Flow Quality     |

Margin Bridge: TTM EBITDA margin (19%) reflects operating cash profitability before D&A; Net margin (9.33%) accounts for D&A, interest, and taxes.

07 5-Stage DuPont ROE Decomposition

Margin Pricing Power (Moat)

|                                               |                             |                                          |                                             |
|-----------------------------------------------|-----------------------------|------------------------------------------|---------------------------------------------|
| TAX BURDEN (PAT / PBT)<br>0.75                | Earnings Retention Drag     | INTEREST BURDEN (PBT / EBIT)<br>0.65     | Financial Cost Drag                         |
| OPERATING MARGIN (EBIT / SALES)<br>19.2%      | Core Business Profitability | ASSET TURNOVER (SALES / ASSETS)<br>0.65x | Asset Utilization Velocity                  |
| FINANCIAL LEVERAGE (ASSETS / EQUITY)<br>1.84x | Balance Sheet Gearing       | RECONSTITUTED ROE<br>11.2%               | Primary Driver: Margin Pricing Power (Moat) |

DuPont Formula Identity: Tax (0.75) × Interest (0.65) × Margin (19.2%) × Turnover (0.65x) × Leverage (1.84x) = Reconstituted ROE (11.2%).

08 Working Capital & Cash Conversion Cycle (10Y Trend)

EFFICIENT

|                                |                               |                                        |                      |
|--------------------------------|-------------------------------|----------------------------------------|----------------------|
| DEBTOR DAYS (DSO)<br>25 Days   | Receivables Collection Period | INVENTORY DAYS (DIO)<br>206 Days       | Stock Holding Period |
| DAYS PAYABLE (DPO)<br>217 Days | Supplier Credit Utilization   | CASH CONVERSION CYCLE (CCC)<br>13 Days | Trend: CONTRACTING   |

Cash Conversion Cycle is 13 days (DSO 25d + Inventory 206d - Payables 217d), Trend: CONTRACTING.

09 Return on Incremental Invested Capital (ROIIC)

VALUE CREATOR

|                                       |                         |                                       |                                |
|---------------------------------------|-------------------------|---------------------------------------|--------------------------------|
| 3Y INCREMENTAL ROIIC (ROIIC)<br>12.4% | Spread: +0.9% over WACC | 5Y INCREMENTAL ROIIC (ROIIC)<br>13.5% | Multi-year capital compounding |
|---------------------------------------|-------------------------|---------------------------------------|--------------------------------|

Capital Deployment Efficacy: 3Y Incremental ROIIC stands at 12.4% (5Y: 13.5%). Management deployed Rs. 27,977 Cr of fresh invested capital to generate Rs. 3,476 Cr of incremental NOPAT.

10 Financial Health & Solvency (Aggregated)

WATCH

|                              |                 |                                 |                  |
|------------------------------|-----------------|---------------------------------|------------------|
| DEBT TO EQUITY (D/E)<br>0.31 | HEALTHY (<=0.5) | INTEREST COVERAGE<br>9.31x      | HEALTHY (>=5.0x) |
| CURRENT RATIO<br>0.66        | WEAK (>=1.0)    | FREE CASH FLOW TREND<br>GROWING | HEALTHY          |

Solvency Context: Benchmark thresholds: D/E <=0.5 Healthy, Interest Coverage >=5x Healthy, Current Ratio >=1.0 Healthy. Sub-1.0 liquidity is common in heavy capex sectors when operating cash flow is positive.

FORENSIC ACCOUNTING & FINANCIAL STATEMENT INTEGRITY AUDIT

Mathematical screening across Beneish M-Score, Altman Z"-Score, Piotroski F-Score, and Sloan Accruals.

11 Beneish M-Score (8-Variable Manipulation Index)

MODERATE

|                                                                                                                              |                                  |                                           |                                 |
|------------------------------------------------------------------------------------------------------------------------------|----------------------------------|-------------------------------------------|---------------------------------|
| DSRI (DAYS SALES IN RECEIVABLES)<br>0.94                                                                                     | Receivables vs Sales Velocity    | GMI (GROSS MARGIN INDEX)<br>1             | Margin Degradation Signal       |
| AQI (ASSET QUALITY INDEX)<br>1.29                                                                                            | Non-Current Asset Capitalization | SGI (SALES GROWTH INDEX)<br>1.04          | Top-line Expansion Acceleration |
| DEPI (DEPRECIATION RATE INDEX)<br>1.02                                                                                       | Asset Useful Life Extension      | SGAI (SGA EXPENSE INDEX)<br>1             | Administrative Cost Drag        |
| LVGI (LEVERAGE INDEX)<br>0.97                                                                                                | Balance Sheet Debt Gearing       | TATA (TOTAL ACCRUALS TO ASSETS)<br>-0.048 | Accounting Profit Accrual Drag  |
| Beneish Result: M-Score = -2.22   Verdict: MODERATE (Moderate (10-25%) Manipulation Risk)   Threshold: -1.78 (Safe <= -2.22) |                                  |                                           |                                 |

12 Altman Z"-Score (Emerging Market Solvency & Credit Risk)

SAFE ZONE

|                                                                                                           |                              |                                         |                               |
|-----------------------------------------------------------------------------------------------------------|------------------------------|-----------------------------------------|-------------------------------|
| WORKING CAPITAL / ASSETS (X1)<br>-0.098                                                                   | Short-term Liquidity Cushion | RETAINED EARNINGS / ASSETS (X2)<br>0.54 | Cumulative Reinvestment Power |
| EBIT / TOTAL ASSETS (X3)<br>0.125                                                                         | Asset Earning Efficiency     | BOOK EQUITY / TOTAL LIAB (X4)<br>1.184  | Capital Structure Protection  |
| Altman Result: Z"-Score = 3.2   Zone: SAFE ZONE   Banding: Safe > 2.60, Grey 1.10 - 2.60, Distress < 1.10 |                              |                                         |                               |

13 Piotroski F-Score (9-Factor Fundamental Quality)

8/9 STRONG

|                                          |           |                                               |           |
|------------------------------------------|-----------|-----------------------------------------------|-----------|
| Positive Net Profit                      | PASS (+1) | Positive Return on Assets (ROA)               | PASS (+1) |
| Positive Operating Cash Flow (CFO)       | PASS (+1) | Cash Flow exceeds Net Income (Clean Accruals) | PASS (+1) |
| Leverage stable or decreasing YoY        | PASS (+1) | Liquidity ratio stable or improving YoY       | FAIL (+0) |
| Zero equity share dilution YoY           | PASS (+1) | Operating margin resilient YoY                | PASS (+1) |
| Asset turnover efficiency maintained YoY | PASS (+1) |                                               |           |

14 Sloan Accrual Anomaly Ratio

CLEAN CASH CONVERSION

|                                                             |                       |                                      |                               |
|-------------------------------------------------------------|-----------------------|--------------------------------------|-------------------------------|
| SLOAN ACCRUAL RATIO<br>-4.91%                               | CLEAN CASH CONVERSION | ACCOUNTING ACCRUALS<br>Rs. -6,745 Cr | PAT minus Operating Cash Flow |
| Accrual Finding: Accrual Ratio -4.9%: CLEAN CASH CONVERSION |                       |                                      |                               |

| MOAT FACTOR        | SCORE | QUALITATIVE / QUANTITATIVE EVIDENCE                                                                        |
|--------------------|-------|------------------------------------------------------------------------------------------------------------|
| Brand Power        | 1/2   | Recognized industry presence and commercial goodwill.                                                      |
| Switching Costs    | 1/2   | Established B2B operational integration and contractual terms.                                             |
| Network Effects    | 0/2   | Standard operating structure without direct network externalities.                                         |
| Cost Advantage     | 2/2   | Operational efficiencies and supply chain optimization. Resilient operating margins prove cost efficiency. |
| Regulatory License | 0/2   | Standard statutory operating permissions.                                                                  |
| Patents/IP         | 0/2   | Conventional industry technology and processes.                                                            |
| Scale Advantage    | 2/2   | Mega-cap balance sheet (Rs. 3,35,757 Cr) drives structural procurement scale.                              |

16 Ownership Structure & Management Trust

7/8 (HIGH) [HIGH >=7, MODERATE 4-6, LOW <4]

|                                                                                                                                                                                                                                               |                |                                              |                        |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------------------------------------|------------------------|
| PROMOTER HOLDING<br>59.33%                                                                                                                                                                                                                    | Trend: FALLING | INSTITUTIONAL FII / DII<br>12.36% / 19.69%   | Moderate Institutional |
| PROMOTER PLEDGING<br>0%                                                                                                                                                                                                                       | CLEAN          | QUARTERLY TRACK RECORD<br>1 Qtrs Contraction | HEALTHY                |
| STRENGTHS (+): +2 Regulatory compliance   +1 Quarterly delivery consistency   +1 Pledging <5%   +1 FII stake >=10%   +1 Cycle resilience   +1 Audit disclosure & accounting transparency<br>UNMET CRITERIA (+0): Promoter trend stable/rising |                |                                              |                        |

17 The Pulse Score & What-If Matrix

4/10 WEAK PULSE

| PASS: Zero existential balance sheet or governance red flags. (Operational watch items tracked in Sections 05 & 09).                                                                                                                                                                                                                                                 |          |                         |                     |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|-------------------------|---------------------|
| BASELINE FINANCIALS (TTM): Revenue: Rs. 91,884 Cr   Net Profit (PAT): Rs. 8,571 Cr   EPS: Rs. 289.77   Margin: 9.33%   Dividend Yield: 2.11%                                                                                                                                                                                                                         |          |                         |                     |
| SCENARIO (MATHEMATICAL MODEL)                                                                                                                                                                                                                                                                                                                                        | REV CAGR | PROJECTED REVENUE (10Y) | PROJECTED PAT (10Y) |
| Bear Case (-5.0% vs Base   7.3% Margin)                                                                                                                                                                                                                                                                                                                              | 5.4%     | Rs. 1,55,469.79 Cr      | Rs. 11,349.29 Cr    |
| Base Case (Historical Avg   9.3% Margin)                                                                                                                                                                                                                                                                                                                             | 10.4%    | Rs. 2,47,132.94 Cr      | Rs. 22,983.36 Cr    |
| Bull Case (+3.5% vs Base   10.8% Margin)                                                                                                                                                                                                                                                                                                                             | 13.9%    | Rs. 3,37,658.07 Cr      | Rs. 36,467.07 Cr    |
| Total Return Model (Rs. 1,00,000 Investment): Based on Base Case Earnings (PAT) CAGR of 10.4% + Dividend Yield 2.11% (Total Return: 12.48% CAGR) over 10Y -> Approx Rs. 8,24,155. Sensitivity: Assumes constant valuation multiple (P/E 39.3 sustained). Mean-reversion to sector average (P/E 37.6) would adjust annualized return to 26.19% (Approx Rs. 3,10,031). |          |                         |                     |

PULSE SCORE 10-RULE AUDIT SCORECARD (PASS / FAIL BREAKDOWN):

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |      |                                                                        |      |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|------------------------------------------------------------------------|------|
| 01. Valuation within fair/attractive range                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | PASS | 02. Revenue 3Y growth trajectory robust (>=10% 3Y CAGR or steady)      | FAIL |
| 03. Operating profit expansion solid (>8% CAGR & no consecutive drops)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | FAIL | 04. Solvency & liquidity balance sheet sound (zero watch/weak metrics) | FAIL |
| 05. Return on Equity (ROE) exceeds 15%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | FAIL | 06. Return on Capital Employed (ROCE) exceeds 15%                      | FAIL |
| 07. Promoter shareholding stable/accumulating (or institutional backing >=40%)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | FAIL | 08. Promoter shares unencumbered (pledge <=10%)                        | PASS |
| 09. Defensible competitive moat (score >=5/14)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | PASS | 10. Management trust & capital allocation score >=4/8                  | PASS |
| Scoring Methodology: Pulse Score synthesizes 10 binary fundamental rules (Valuation, Growth, Profit expansion, Solvency, ROE, ROCE, Promoter trend, Pledging, Moat, Trust). Moat evaluates 7 structural barriers (/14). Management Trust evaluates 7 governance benchmarks (/8). Data confidence: 14/14 (HIGH).<br>Regulatory Disclaimer: Stock Pulse is an automated fundamental computational tool and does not issue buy, sell, or hold recommendations, nor price targets. Figures parsed directly from public filings (Screener.in, NSE, BSE) at generation time. Not investment advice. |      |                                                                        |      |